

TCS for 34 years, has also made sure that his new regime brings existing industry service units (ISUs) in line with business groups. About 200 ISUs now report to the seven business groups within the company. For Krithivasan, this “flip back” is a testament to the agility of the organisation. “We were able to quickly flip into the new structure within about three months or less. Being vertically organised was a very natural state for us. The earlier scheme of things was creating more distraction,” says Krithivasan, who was earlier President and Global Head of the Banking, Financial Services, and Insurance (BFSI) business, TCS’s crown jewel that contributes around 33 per cent to its revenue.

The rejig under the new chief abandons most elements of the restructuring begun by his predecessor, Rajesh Gopinathan, last April, when he had organised the company as per the size of clients. For Krithivasan, the size of the client matters, but not as much as focussing on the industry segment, a key part of TCS’s strategy that has helped it grow its profit after tax by

10 per cent year-on-year to ₹42,303 crore in 2022-23, even at a time when the IT industry faced headwinds globally. TCS also retained the second spot on the BT500 list, just behind Reliance Industries Ltd, even though its average market capitalisation dipped 5.3 per cent between October 1, 2022, and September 30, 2023.

CUSTOMER FOCUS

Focussing on customers has been a key pillar of its strategy. “We believe in only two stakeholders—our associates and our customers. We keep talking about customer centricity and employee empathy, and we also believe in long-term relationships with both of them. That’s why it’s not uncommon for them to be with us for over 45 years,” he says.

For Krithivasan, the second part of the strategy is to figure out what’s going to work in the medium term, and technology takes centre stage whenever the future is concerned. He fondly remembers a meeting in 2008 on digital technologies that took place when the

global financial crisis was raging. Current Tata Sons Chairman Natarajan Chandrasekaran, who was then the COO of TCS, had said in that meeting, “Ten to 15 years later, people [will] remember the digital revolution that is happening now more than the financial crisis.”

Krithivasan believes this foresight has been the real game changer. Taking a cue from Chandrasekaran, he has created a new business unit called TCS AI.Cloud to focus on all the opportunities arising out of AI-based projects. TCS has been working on generative AI (GenAI) solutions, but the new unit will bring a more focussed approach since GenAI continues to see tremendous interest from clients. TCS is already co-innovating with multiple clients and seeing a progressive increase in use cases and the complexity of GenAI deals. “Chandrasekaran actually coined the phrase ‘default is digital’. If we are not providing a digital solution to a problem, then we need to explain why. Otherwise, the technology transformation to digital is the key and the only way of doing things,” he says.

So, he adds, TCS takes a call, follows it through with investment within the organisation to train associates, builds partnerships and prototypes, talks to customers, and finds out what works, “because technology without context is of no value.”

CHALLENGES AHEAD

Even though TCS has the wherewithal to ride out the headwinds by focussing on the big picture, in the short term, its journey seems to be riddled with challenges. During the second quarter of FY24, TCS reported weak revenues due to a slowdown in discretionary projects, especially in North America, and project ramp-downs. It ex-

THE REPORT CARD

Company Name	Tata Consultancy Services
2023/2022 Rank	2/2
Average Market Cap*	₹12,13,956 crore (-5.3%)
Total Income	₹2,29,068 crore (17%)
PAT	₹42,303 crore (10%)
ROE	47.3%
TTM P/E Multiple	28.70

NOTE DATA AS OF NOVEMBER 17, 2023; *FROM OCTOBER 1, 2022, TO SEPTEMBER 30, 2023; TOTAL INCOME, PAT AND ROE FOR FY23; P/E: PRICE TO EARNINGS; FIGURES IN BRACKETS INDICATE CHANGE IN PER CENT YoY; RESULTS ARE ON A CONSOLIDATED BASIS; TTM: TRAILING 12 MONTHS
SOURCE ACE EQUITY